Notes of client planning meeting – Sheena's Designs Ltd

Meetings held: 05 November 20X3 and 10 January 20X4

Y/E date: 31 December 20X3

Client background

Sheena's Designs Ltd ('Sheena's') is a bespoke jewellery manufacturer and retailer based in Edinburgh. The company creates and sells several ranges of Celtic inspired jewellery, which are popular with both locals and tourists.

Sales have been steady for the past three years, and sales of existing products are expected to remain constant for the next year. The company is not impacted by any seasonal fluctuations.

YE update – sales of existing products have remained constant with the previous year

Raw materials

Various raw materials are used in the manufacture of Sheena's jewellery products, including gold, silver, and gemstones.

The price of silver, a key raw material used, has increased 120% during the last year. Industry reports have noted that this has had a significant cost impact on small to medium sized jewellery manufacturers.

Management have confirmed that the cost impact of this has not been passed on to customers.

YE update – silver makes up 10% of all raw materials. Approximately half of all cost of sales relates to raw materials. The cost of all other raw materials has remained constant

New products

In addition to existing products, Sheena's is developing a new line of engagement rings.

The launch of these have been publicised extensively on social media and (although the manufacture has not yet been completed for any of these engagement rings) a large number of pre-orders have been received.

YE update – a total of 50 new engagement rings have been made and sold for a total of £100,000. The associated COS for these is £20,000.

There are 100 further orders which have been received but not yet manufactured.

Bank loan

Sheena's has an existing bank loan of £50,000, which the bank has confirmed it will renew for the next year. In addition to this, the company has obtained a new bank loan of £20,000 in order to help finance the expansion of its current premises.

The new loan includes a covenant that Sheena's trade receivable days cannot be more than 70 days.

YE update – in November 20X3 the bank confirmed that it would not renew the bank loan, with immediate effect. Interest incurred for the new loan has been £1,000.

Additional points from meeting 10 January 20X4

Direct labour costs

Sheena's have begun a more efficient manufacturing method, which has had cost savings in terms of direct labour costs. This method has been used since June 20X3, however the impact of this has not been quantified.